

Amendment No. 1 to SB2418

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 2418

House Bill No. 2069*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 8, Chapter 6, Part 3, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Contingent fee" means a fee that is contingent on the outcome of a lawsuit; and

(2) "Political subdivision" means a political or taxing subdivision of this state, including counties, cities, metropolitan governments, municipal and quasi-municipal corporations, boards, commissions, authorities, councils, committees, subcommittees, and other subordinate groups or administrative units thereof, receiving or expending, and supported by, in whole or in part, public funds.

(b) A political subdivision shall only enter into a contingent fee contract for legal services if the governing body of the political subdivision:

(1) Calls a public meeting in accordance with title 8, chapter 44, part 1 for the purpose of considering the contract and provides in the notice of the meeting:

(A) The reasons for pursuing the matter that is the subject of the legal services being procured and the desired outcome of pursuing the matter;

(B) The qualifications, experience, and competence of the attorney or law firm proposed for retention by the governing body;

(C) The nature of the relationship, if any, between the political subdivision or governing body and the attorney or law firm that is proposed for retention;

(D) The reasons the legal services cannot be adequately performed by the attorneys and supporting personnel of the political subdivision;

(E) The reasons the legal services cannot be reasonably procured under a contract providing for an hourly rate payment structure as opposed to a contingent fee structure; and

(F) An explanation as to why a contingent fee contract for legal services is in the best interest of the residents of the political subdivision;

(2) Makes a written finding that:

(A) There is a substantial need for the legal services that are the subject of the proposed contingent fee contract;

(B) The legal services cannot be adequately performed by the attorneys and supporting personnel of the political subdivision; and

(C) The legal services cannot reasonably be obtained from attorneys under a contract providing for an hourly rate payment structure due to the nature of the legal matter that is the subject of the contract or because the political subdivision does not have the funds necessary to pay the estimated cost of legal services provided under a contract at an hourly rate; and

(3) Approves the contract in a public meeting after discussion and consideration of the items described in subdivision (b)(1).

(c)

(1) Before a contingent fee contract for legal services proposed by a political subdivision pursuant to subsection (b) is executed, the political

subdivision shall obtain approval of the contract by the attorney general and reporter. The political subdivision shall provide to the attorney general and reporter:

(A) A copy of the proposed contract;

(B) A description of the legal matter that is the subject of the proposed contract;

(C) A copy of the notice issued pursuant to subdivision (b)(1), the date such notice was issued, and a description of the method for providing such notice; and

(D) A copy of the written findings made pursuant to subdivision (b)(2).

(2) Within ninety (90) days after the political subdivision has provided the attorney general and reporter with the information required under subdivision (c)(1), the attorney general and reporter shall:

(A) Approve the contract; or

(B) Refuse to approve the contract and provide the political subdivision with one (1) of the following reasons for the refusal to approve:

(i) The legal matter that is the subject of the contract presents one (1) or more questions of law or fact that are in common with a matter that has already been adjudicated in litigation involving this state or that this state is currently or may be litigating or investigating;

(ii) Pursuit of the legal matter by the political subdivision will not promote the just and efficient resolution of the matter; or

(iii) The contract does not comply with the Tennessee rules of professional conduct for attorneys adopted by the Tennessee supreme court.

(3) If the attorney general and reporter has not taken action on a contract pursuant to subdivision (c)(2) within ninety (90) days after receipt of the proposed contract, such contract is deemed approved.

(4) The attorney general and reporter's decision pursuant to subdivision (c)(2) is final and not subject to review by any court.

(d) In a judicial or quasi-judicial proceeding in which a political subdivision is represented by an attorney providing legal services under a contingent fee contract for legal services that was not approved in accordance with this section, the attorney general and reporter may intervene in such proceeding and request that the proceeding be dismissed. If the court or quasi-judicial body concludes that the contract for legal services was not approved in accordance with this section, the court or quasi-judicial body must dismiss the matter without prejudice.

(e) A contingent fee contract for legal services that was entered into by a political subdivision prior to the effective date of this act, must be submitted to the attorney general and reporter by the political subdivision on or before July 1, 2026. The attorney general and reporter shall review the contract and approve or refuse to approve the contract pursuant to subsection (c). A judicial or quasi-judicial proceeding that is ongoing involving a contingent fee contract for legal services entered into by a political subdivision must proceed unless the attorney general and reporter appears in such proceeding as described in subsection (d).

SECTION 2. Tennessee Code Annotated, Title 29, Chapter 34, Part 2, is amended by adding the following as a new section:

(a) This section abrogates the common law of public nuisance in this state to the extent the common law is inconsistent with this section.

(b) This section does not alter or affect chapter 3 of this title, § 43-26-103, or § 39-17-316.

(c) As used in this section:

(1) "Government entity" means this state, an agency or a political subdivision of this state, a federal entity or agency, or any other governing authority, including a tribal government;

(2) "Public nuisance" means:

(A) A condition arising out of the use of real property that unlawfully interferes with a public right by endangering communal safety, being indecent to the community, or being offensive to the community; or

(B) A condition that unlawfully interferes with the public right to free passage or use, in the customary manner, of public land, air, or water;

(3) "Public right" means a right, commonly held by all members of the public, to the use of public land, air, or water; and

(4) "Unlawful interference" means actions or conditions that violate a statute, ordinance, regulation, permit, license, order, rule, or other similar measure issued, adopted, promulgated, or approved by a government entity.

(d) The following nonexclusive list of actions or conditions must not be considered a public nuisance or be the basis for a public nuisance cause of action:

(1) An action or condition that is lawful;

(2) An action or condition that is authorized, approved, licensed, or mandated by statute, ordinance, regulation, permit, license, order, rule, or other similar measure issued, adopted, promulgated, or approved by a government entity;

(3) Impairment of the spiritual, cultural, or emotional significance associated with public land, air, or water;

(4) The design, manufacturing, distributing, selling, labeling, advertising, or marketing of a product; or

(5) The aggregation of individual injuries or private rights, including private nuisances.

(e) A person may be subject to a public nuisance cause of action only if that person proximately caused the public nuisance at the time the public nuisance was created, which includes controlling the condition, or instructing another person to engage in the activity, that unlawfully interferes with a public right.

(f)

(1) A public nuisance cause of action is available to a government entity only if the public nuisance is physically within the jurisdiction of that government entity. Past, current, or future expenditures made by a government entity related to injunction of or any other response to a public nuisance do not themselves confer standing to file or maintain a public nuisance action.

(2) In a public nuisance action brought by a government entity, the only remedies against a public nuisance are:

(A) Indictment or information as regulated by titles 39 and 40;

(B) Injunctive relief to enjoin an unlawful condition that is proximately causing a public nuisance; and

(C) Monetary and nonmonetary resources, if quantifiable, that a court determines are reasonably necessary to abate the public nuisance based on relevant and reliable cost factors and established by clear and convincing evidence. All resources provided under this subdivision (f)(2)(C) must be spent to abate the public nuisance itself.

(3) Remedies available under this section do not include:

(A) The costs of abating a potential future public nuisance; or

(B) Damages of any kind, including economic, noneconomic, and exemplary damages.

(4) This section does not limit the authority of a government entity to order a person to vacate the right-of-way of any public land, air, or water of this state.

(g)

(1) A public nuisance cause of action is available to a private person only if that person has sustained a special injury proximately caused by the public nuisance and the person can show the existence of the special injury by clear and convincing evidence.

(2) As used in subdivision (g)(1), "special injury" means an injury that is different in kind, not just in degree, from an injury sustained by the general public exercising the same public right. A special injury is not an injury based upon impairment of the spiritual, cultural, or emotional significance associated with public land, air, or water of this state.

(3) Financial expenditures made by a private person related to an injunction of, or any other response to, a public nuisance does not constitute a special injury sufficient to confer standing on the person to file or maintain a public nuisance action.

(4) The remedy available to a private person in a public nuisance action is limited solely to compensatory damages for the special injury.

(5) The abatement of a public nuisance does not preclude the right of a person to recover compensatory damages under this section.

(6) Private persons shall not bring a class action for special injuries arising out of a public nuisance.

(h) Unless otherwise set forth in this chapter, it is an affirmative defense to a claim under this section that the defendant does not have ongoing control over the source of the alleged public nuisance.

(i) This section applies only to causes of action accruing on or after the effective date of this act. A cause of action that accrued prior to that date is governed by the law applicable at the time of accrual of the cause of action, and that law is continued in effect for that purpose.

SECTION 3. Tennessee Code Annotated, Section 29-3-101(a)(5), is amended by deleting the language "that which is declared to be a nuisance by other statutes, and, in addition, means:".

SECTION 4. Tennessee Code Annotated, Section 29-3-114, is amended by deleting the section and substituting:

A person shall not initiate an action for recovery of damages resulting from a public nuisance, but actions for costs directly associated with abatement of a public nuisance are permitted.

SECTION 5. Tennessee Code Annotated, Section 29-3-115, is amended by deleting the section.

SECTION 6. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it.